How to Buy a Home in Denver

Buyers have room to negotiate again. Here's how the Colorado buying process works, what to inspect in older Denver homes, what it costs, and how to use today's market to your advantage.



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The Market for Buyers Right Now

After several years of bidding wars, Denver buyers have time and choices again. Inventory is the highest it has been in years, homes take longer to sell, and sellers are more open to negotiating on price and terms.

13,567	4.76	7.21	32
active listings, the most for a September since 2011	months of inventory for all homes	months of inventory for condos and townhomes	median days in MLS before going under contract

Denver metro, September 2026. Source: DMAR October 2026 Market Trends Report.

That doesn't mean every home is a bargain. Well-priced homes in desirable neighborhoods still sell quickly, and homes over $1 million had a median of just 21 days in the MLS. The leverage is real, but it's strongest on homes that have been sitting, and on condos and townhomes, where supply is highest.

What You Can Negotiate in Today's Market

Price is only one lever. In a balanced market, the terms around it are often worth as much.

- **Price.** Homes that have been listed for a few weeks, or have already had a price cut, usually have the most room.
- **Seller credits.** Sellers can pay toward your closing costs or buy down your mortgage rate. A rate buydown can lower your monthly payment more than a similar price cut.
- **Inspection repairs.** After the inspection, you can ask for repairs, a credit or a lower price for issues the inspection uncovers.
- **Your agent's compensation.** You can ask the seller to cover your agent's fee as part of your offer, so it doesn't come out of your pocket.
- **Timing.** A longer closing, a rent-back for the seller, or a quick close can all make your offer stronger without raising the price.

The Buying Process, Step by Step

Here's how a typical financed purchase runs in Colorado. Your offer is written on the state's standard Contract to Buy and Sell Real Estate, which sets every deadline.

1

Get Pre-Approved

Before you tour

A lender reviews your income, credit and savings and tells you what you can borrow. Sellers expect a pre-approval letter with every offer.

2

Sign a Buyer Agreement

Before your first showing

Since August 2024, agents need a written agreement with you before touring homes. It spells out what your agent does for you and how they're paid.

3

Tour and Compare Homes

Weeks to months

Narrow your neighborhoods, then tour. I'll pull recent sales so you know what each home is really worth before you write an offer.

4

Make an Offer

Day 0 of the contract

Your offer sets the price, earnest money, loan type, inspection and appraisal terms, closing date and any credits you're asking for.

5

Inspect and Negotiate

Usually days 7 to 14

Your inspections happen here. By the Inspection Objection Deadline, you ask for repairs or credits, or you can walk away and keep your earnest money.

6

Appraisal and Loan Approval

Usually days 14 to 30

The lender orders an appraisal, the title company clears title, and your loan moves to final approval.

7

Close and Get Your Keys

Usually 30 to 45 days after signing

You sign at the title company and wire your funds. Always confirm wiring instructions by phone with the title company before you send money.

Inspections for Older Denver Homes

Many homes in central Denver are 60 to 100 years old. A general inspection is the start, but these are the ones that most often change a deal here:

- **Sewer scope.** A camera runs through the main sewer line. Many older homes have clay lines that tree roots crack, and a replacement can be expensive. Don't skip this one.
- **Radon test.** Radon levels are high across much of Colorado. Testing is routine, and mitigation is a common, manageable fix.
- **Roof.** Front Range hail is hard on roofs, and your insurer will ask about roof age and condition.
- **Electrical and foundation.** Older wiring, undersized panels and settling foundations show up often in early-1900s homes. Bring in a specialist when the general inspector flags something.

What It Costs to Buy a Home in Colorado

Beyond your down payment, plan for closing costs and a few upfront expenses:

- **Lender fees.** Origination, underwriting and appraisal fees, plus any points you pay to lower your rate. Your Loan Estimate lists them.
- **Lender's title policy.** In Colorado, buyers customarily pay for the lender's title insurance policy. Sellers usually pay for the owner's policy.
- **Closing fee.** The title company's fee for handling closing, typically split with the seller.
- **Prepaids.** Your first year of homeowners insurance and a starting balance for your tax and insurance escrow account.
- **Inspections.** A general inspection, sewer scope and radon test, paid before closing.
- **HOA fees.** For condos and many townhomes, a transfer fee and sometimes a working capital contribution.
- **Your agent's compensation.** Set in your buyer agreement. Often the seller covers some or all of it, and you can ask for that in your offer.

Your earnest money, commonly around 1% of the price in Denver, is credited toward your costs at closing.

Estimate Your Monthly Payment

See what a home would cost you each month, including taxes, insurance and HOA dues. The starting values are examples. Change any of them.

Run your own numbers with the interactive calculator at findhomesarounddenver.com/buy.

Buyer FAQ

Is It a Good Time to Buy a House in Denver?

For buyers, it's the best negotiating position in years. Inventory is high, homes take longer to sell, and sellers are more willing to give credits or lower prices. Rates are the trade-off. If you find the right home and the payment works for you, today's market lets you buy without a bidding war.

How Much Do I Need to Make to Buy a House in Denver?

It depends on the price, your down payment, your rate and your other debts. A common guideline is to keep your total housing payment, including taxes, insurance and HOA dues, under about 30% of your gross monthly income. Use the payment calculator above, then get pre-approved for a real number.

Do I Have to Pay My Buyer's Agent in Colorado?

Your buyer agreement sets your agent's compensation. In many deals the seller pays some or all of it, either because they offer to or because you ask for it in your offer. Any amount the seller doesn't cover is yours to pay at closing, so it's worth discussing up front.

How Much Earnest Money Is Typical in Denver?

Earnest money is commonly around 1% of the purchase price in Denver, though it varies with the deal. It's held by the title company or brokerage and credited toward your costs at closing. If you cancel within your contract's deadlines, such as after inspection, you get it back.

What Inspections Should I Get on a Denver Home?

A general home inspection, a sewer scope and a radon test are standard. For older homes, add a specialist for the roof, electrical or foundation if the general inspector flags a concern.

How Long Does It Take to Buy a House in Colorado?

Once you're under contract, closing usually takes 30 to 45 days with a mortgage, or as little as two weeks with cash. The search beforehand can take a few weeks to a few months, depending on how specific you are.

Questions? Let's Talk.

Every move is different. If you'd like to talk through your plans, your neighborhood or your numbers, I'm happy to help, with no pressure and no obligation.



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